3.9.1 Methods and types of growth

Unit 3.9 Strategic methods: how to pursue strategies · 8 key points

- **Merger:** two businesses agree to join
- **Takeover:** one business buys a controlling share of another
- **Joint venture:** two businesses set up a shared project and keep their separate identities
- **Franchising:** franchisee pays to use the brand and system and runs the outlet
- **Vertical integration:** joining a business at a different stage of production
- **Backward vertical integration:** buying a supplier
- **Forward vertical integration:** buying a business closer to the customer
- **Horizontal integration:** same industry and same stage; conglomerate: unrelated industries